

Bankruptcy Team Sports and the Private Equity Playbook

Forthcoming, RESEARCH HANDBOOK ON THE STRUCTURE OF PRIVATE EQUITY AND VENTURE CAPITAL

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This chapter explains how the growth of private equity has reshaped the agency-cost problem at the center of Chapter 11. Historically, bankruptcy law policed collusive transactions between managers and favored outsiders through three principal tools: creditor “teams,” which force creditors with similar claims to act collectively and share costs and payoffs; market tests; and judicial valuation. But as buyout-driven secured debt has come to dominate bankrupt firms’ capital structures, the central conflict has shifted from equity-versus-unsecured-debt or secured-versus-unsecured-debt disputes to intra-class warfare among secured lenders. In this new environment, private equity sponsors and managers increasingly pursue “team breakup” strategies: transactions that favor a majority creditor coalition while diluting excluded minority creditors. These strategies appear both outside bankruptcy, as in uptiering transactions like Serta, and inside bankruptcy, through exclusive DIP financing, exit financing, restructuring support agreements, and committee-flipping strategies, as in Peabody, J.C. Penney, and Nine West. We argue that these transactions weaken traditional market-testing protections because insider creditor coalitions can use their control rights to deter outside competition. As a result, bankruptcy courts should more actively police team breakup strategies to preserve priority, limit value diversion, and restore Chapter 11’s agency-cost-control function.

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I. Introduction

From the equity receiverships of the late 19th century to today's Chapter 11, one of the law's primary challenges is controlling the agency costs of reorganization.² Though these agency costs have taken different forms over time, they tend to share some common fundamentals. The bankrupt debtor is often controlled by management that holds out-of-the-money shares.³ Looking to save some value for themselves, management finds a favored party.⁴ They arrange a transaction for the assets, backed by a distorted valuation that serves to distort priorities.⁵ The favored party shares the surplus with management at the expense of the left-out creditors.⁶ Value diversion might occur directly through managerial compensation or indirectly by preserving value for shareholders.⁷ Policing these "absolute priority rule violations" has been a cornerstone of bankruptcy law since its inception.⁸

Historically, a primary function of the law is to protect the left-out creditors from these kinds of unfair end-game transactions.⁹ Judicial valuation is one way, but everyone agrees it is imperfect.¹⁰ There are two other strategies the law uses to address this difficulty.¹¹ One is

² In other work, one of us argues that the agency problem, along with the commons and anticommons problems, constitute the three major problems that corporate bankruptcy law must address. See Kenneth Ayotte, Jason Donaldson and Giorgia Piacentino, *Bankruptcy's Trilemma: A Unifying Framework*. (December, 2024) (unpublished manuscript) (on file with authors). See also Barry E. Adler, *Financial and Political Theories of American Corporate Bankruptcy*, 45(2) STAN. L. REV. 311, 315-6; Lynn M. LoPucki & William C. Whitford, *Bargaining over Equity's Share in the Bankruptcy Reorganization of Large, Publicly Held Companies*, 139 U. PA. L. REV. 125, 149-51 (1990); Julian R. Franks & Walter N. Torous, *A Comparison of Financial Recontracting in Distressed Exchanges and Chapter 11 Reorganizations*, 35 J. FIN. ECON. 349 (1989); Allan C. Eberhart, William T. Moore & Rodney L. Roenfeldt, *Security Pricing and Deviations from the Absolute Priority Rule in Bankruptcy Proceedings*, 45 J. FIN. 1457 (1990); Lawrence A. Weiss, *Bankruptcy Resolution: Direct Costs and Violation of Priority of Claims*, 27 J. FIN. ECON. 285 (1990); Brian L. Betker, *An Empirical Examination of Prepackaged Bankruptcy*, 24 FIN. MGMT. 3 (1995).

³ See generally Robert J. Berdan & Bruce G. Arnold, *Displacing the Debtor in Possession: The Requisites for and Advantages of the Appointment of a Trustee in Chapter 11 Proceedings*, 67 MARQ. L. REV. 457 (1984).

⁴ Jared A. Ellias, *Do Activist Investors Constrain Managerial Moral Hazard in Chapter 11?: Evidence from Junior Activist Investing*, 8 J. LEGAL ANALYSIS 493 (2015); Kenneth M. Ayotte & Edward R. Morrison, *Creditor Control and Conflict in Chapter 11*, 1 J. LEGAL ANALYSIS 511 (2009).

⁵ For an example, consider the American Safety Razor story in Jared A. Ellias & Robert J. Stark, *Bankruptcy Hardball*, 108 CALIF. L. REV. 745 (2020).

⁶ See generally Douglas G. Baird, *The Fraudulent Conveyance Origins of Chapter 11: An Essay on the Unwritten Law of Corporate Reorganizations*, 36 EMORY BANKR. DEV. J. 699 (2020). (discussing the law being built on fraudulent transfer principles).

⁷ For a primer on the channels through which executives can extract rents in bankruptcy, see generally Jared A. Ellias, *Regulating Bankruptcy Bonuses*, 92 S. CAL. L. REV. 653 (2019).

⁸ See Frederick Tung & Mark J. Roe, *Breaking Bankruptcy Priority: How Rent-Seeking Upends the Creditors' Bargain*, 99 VA. L. REV. 1235 (2013).

⁹ See generally Ellias, *supra* note 6.

¹⁰ See generally Stuart C. Gilson, Edith S. Hotchkiss & Richard S. Ruback, *Valuation of Bankrupt Firms*, 13 REV. FIN. STUD. 43 (2000); Kenneth Ayotte & Edward R. Morrison, *Valuation Disputes in Corporate Bankruptcy*, 166 U. PA. L. REV. 1819 (2018); Douglas G. Baird & Donald S. Bernstein, *Absolute Priority, Valuation Uncertainty, and the Reorganization Bargain*, 115 YALE L.J. 1930 (2006).

¹¹ These are not the only protections, however. Contracts play a role, as do judicial valuations. We focus here on teams versus markets to note the trade-offs between the two.

creating “teams” of creditors. By “teams,” we mean that creditors holding claims with the same priority have some form of collectivized governance, and a sharing of costs and payoffs from the reorganization. Bankruptcy “teams” usually organize behind a single law firm and investment bank, sometimes as part of an “official committee” who owes a fiduciary duty to the team.¹² By pairing outsiders with more powerful “insider” creditors on a team, outsiders are protected by the negotiating and litigating strategies pursued by the insiders and their lawyers.¹³

The second strategy used by the law to protect left-out creditors is through “market tests” of rights in the debtor’s assets.¹⁴ Rights transfers can occur in sales,¹⁵ reorganizations, DIP financings,¹⁶ and through claims trading, which the code explicitly supports.¹⁷ If the debtor sells the firm as a going-concern outside a plan, for example, judges approve the rules of the sale process with the goal of generating information and fostering competition in bidding.

Over the last twenty years, we have seen a dramatic shift in the dynamics of large Chapter 11 cases, driven in significant part by private equity-backed LBOs. One major change is financial: capital structures of bankrupt companies are more secured debt-heavy than ever before.¹⁸ The major value allocation disputes are often between secured creditor coalitions and private equity sponsors, with unsecured creditors playing a lesser role. “Outsider” creditors are

¹² For a primer on official committees, see Michelle M. Harner & Jamie Marincic, *Committee Capture? An Empirical Analysis of the Role of Creditors’ Committees in Business Reorganizations*, 64 VAND. L. REV. 747 (2011).

¹³ These rights are both “direct” and “indirect.” Direct protections by creditors of other creditors occur through fiduciary duties of committee members, for example. For a general primer on the strategies that creditors can deploy to protect their interests, see Jared A. Elias, *Bankruptcy Law’s Knowns and Unknowns*, 19 ANNUAL REV. L. & SOC. SCI. (forthcoming 2023); Michelle M. Harner, Jamie Marincic Griffin & Jennifer Ivey-Crickenberger, *Activist Investors, Distressed Companies, and Value Uncertainty*, 22 AM. BANKR. INST. L. REV. 167 (2014); Wei Jiang, Kai Li & Wei Wang, *Hedge Funds and Chapter 11*, 67 J. FIN. 513, 556 (2012).

¹⁴ See Mark J. Roe, *Bankruptcy and Debt: A New Model for Corporate Reorganization*, 83 COLUM. L. REV. 527, 559 (1983); see also Stuart C. Gilson, Edith S. Hotchkiss & Matthew G. Osborn, *Cashing Out: The Rise of M&A in Bankruptcy* (Harvard Bus. Sch., Working Paper No. 15-057, 2015), <https://ssrn.com/abstract=2547168>.

¹⁵ See Douglas G. Baird & Robert K. Rasmussen, *The End of Bankruptcy*, 55 STAN. L. REV. 751, 755 (2002) (discussing the rise of sales in bankruptcy).

¹⁶ See e.g. Kenneth Ayotte & Jared A. Elias, *Bankruptcy Process for Sale*, 39 YALE J. REG. 1 (2022); Frederick Tung, *Financing Failure: Bankruptcy Lending, Credit Market Conditions, and the Financial Crisis*, 37 YALE J. REG. 651 (2020); Barry E. Adler, Vedran Capkun & Lawrence A. Weiss, *Value Destruction in the New Era of Chapter 11*, 29(2) J. L., ECON., & ORG. 461 (2013); Douglas G. Baird & Robert K. Rasmussen, *The End of Bankruptcy*, 55 STAN. L. REV. 751, 784 (2002); David A. Skeel Jr., *Creditors’ Ball: The “New” New Corporate Governance in Chapter 11*, 152 U. PA. L. REV. 917, 919 (2003); Elizabeth Warren & Jay L. Westbrook, *Secured Party in Possession*, 22 AM. BANKR. INST. J. 12, 12 (2003); Kenneth M. Ayotte & Edward R. Morrison, *Creditor Control and Conflict in Chapter 11*, 1 J. LEGAL ANALYSIS 511, 514 (2009) (finding that bankruptcy sales are more likely and traditional reorganization less likely with debtors that have over-secured secured creditors).

¹⁷ Jared Elias, *Bankruptcy Claims Trading*, 15 J. EMPIRICAL LEGAL STUD. 772, 795 (2018) (noting that “claims trading is a pervasive feature of Chapter 11”); Edith S. Hotchkiss & Robert M. Mooradian, *Vulture Investors and the Market for Control of Distressed Firms*, 43 J. FIN. ECON. 401, 402 (1997) (explaining the various motives of vulture investors who purchase distressed claims); Victoria Ivashina, Benjamin Iverson & David C. Smith, *The Ownership and Trading of Debt Claims in Chapter 11 Restructurings*, 119 J. FIN. ECON. 316, 334 (2015) (describing empirical scholarship that associates higher debt concentration with the preservation of independent going concern).

¹⁸ Barry E. Adler, Vedran Capkun & Lawrence A. Weiss, *Value Destruction in the New Era of Chapter 11*, 29(2) J. L., ECON., & ORG. 461 (2013).

still important, but they are less likely to be bondholders and trade creditors; instead, they are the CLOs who hold pieces of secured loans.¹⁹

A second important change is the source of conflict. In many failed LBOs, the major dispute in the case is not about asset allocation; i.e. whether the firm should reorganize or liquidate. Instead, it is about entitlement disputes connected to the LBO.²⁰ Was the LBO a fraudulent transfer, or did management breach their fiduciary duties? Did the sponsor extract dividends or assets from the company that, in retrospect, seem like “looting” to the detriment of creditors? How much should they pay to settle this litigation, and to whom should the proceeds go?

These sea changes, we argue, have affected the pressure points of bankruptcy law in subtle but important ways. Managers looking to divert firm value no longer seek out favorable deals with third parties, as they did twenty years ago.²¹ Instead, they look to strike deals with favored insider creditors to divide and conquer teams. By breaking up teams, managers can divert value from one creditor group to another, offering the winning creditors windfall returns and sharing the proceeds.²² The rise of secured debt is one reason for this change: secured creditors as a group have stronger protection against value diversion via third party transactions. Unsecured creditors are vulnerable to fire sales and expensive DIP loans; secured creditors are better able to block these potentially re-distributive transactions.²³ Thus, diversion from secured creditors may require divide-and-conquer strategies for the debtor to gain consent.

The shift from asset allocation to entitlement disputes also plays an important role. In a clearly insolvent firm, management and shareholders have a weak case for any value entitlement. The gains from attempting a value diversion strategy, then, are relatively weaker. But LBO-related entitlement litigation and pre-bankruptcy shareholder looting lawsuits can dramatically alter payoffs to the private equity shareholder. Further, the underlying value of these claims is substantially uncertain and control of the bankruptcy process can have great effect on the settlement value. This creates demand for more aggressive strategies by private equity sponsors to dilute these liabilities.

¹⁹ See generally David A. Skeel, *Bankruptcy's Identity Crisis* (U. Penn. Inst. for L. & Econ., Working Paper No. 23-17, 2023), https://papers.ssrn.com/sol3/papers.cfm?abstract_id=4417213. For a discussion of CLOs, see Shohini Kundu, *The Externalities of Fire Sales: Evidence from Collateralized Loan Obligations* (Wharton-Harvard Insolvency & Restructuring Conf., 2023) and Sarah Paterson, *The Problem of CLO Incentives in Financial Distress* (Wharton-Harvard Insolvency & Restructuring Conf., 2023).

²⁰ For example, see the discussion of the Lyondell bankruptcy in Jared A. Ellias & Robert J. Stark, *Bankruptcy Hardball*, 108 CAL. LAW REV. 745 (June 2020).

²¹ See Lynn M. LoPucki & Joseph W. Doherty, *Bankruptcy Fire Sales*, 106 MICH. L. REV. 1 (2007) for the manager diversion through fire sale story and examples such as Polaroid.

²² See Ellias, *supra* note 6.

²³ See Jared A. Ellias, *The Law and Economics of Investing in Bankruptcy in the United States*, in NVRII REPORTS 2019, DISTRESSED DEBT TRADING: BRAVE NEW EU LEGAL RULES IN RELATION TO BOLD NEW STRATEGIES 47 (Eleven Int'l. Publ'g, 2020).

Outside of bankruptcy, sponsors execute team breakup strategies through aggressive reading of loan documents.²⁴ This can provide the sponsor with option value outside of bankruptcy and leverage in negotiations if bankruptcy occurs. Inside bankruptcy, team break strategies can occur through DIP loans tied to restructuring support agreements.²⁵ It can also occur through exclusive opportunities for a favored coalition to buy into exit financing packages at a substantial discount. These deals often go hand-in-hand with settlements in reorganization plans that resolve liabilities connected to the pre-petition LBO.²⁶

The effect of this trend on outsider creditors is complex. On one hand, outsiders might benefit from insiders' stronger rights through team membership. But we argue that it has importantly weakened the market test mechanism as a protection for the left-out minority creditors. Third parties are less likely to be able to credibly compete against an insider creditor coalition whose prepetition claims give them an effective veto over a deal.²⁷ Thus, insider secured creditor coalitions in the modern Chapter 11 become like monopolists. They can propose DIP financing on their own terms with no outsider competition and control the terms of sales and reorganization plans through restructuring support agreements tied to these loans.²⁸ This shift in the role of creditors in bankruptcy has also re-configured the marketplace for activist investors, providing the largest funds with the ability to earn returns-from-scale and forcing smaller investors to share the indignity of exclusion from a team.²⁹ In effect, the cost of participating in Chapter 11 is now higher than it has ever been.

These changes in pressure points complicate the job of the bankruptcy judge. Instead of policing the terms of a sale process or ensuring that new securities in a reorganization are market tested, the judge must now evaluate the validity of team breakup strategies. These strategies are harder to police: they occur under greater time pressure by the conscious design of their proponents.³⁰ They also require judges to make difficult valuation judgments under this time pressure. When creditors occupy the same class, the Code is set up to require that they receive equal treatment. But this only applies to the payments on their pre-petition claim; it does not

²⁴ See Vincent S.J. Buccola & Greg Nini, *The Loan Market Response to Dropdown and Uptier Transactions* (June 2022) (unpublished manuscript), https://papers.ssrn.com/sol3/papers.cfm?abstract_id=4143928.

²⁵ See generally Douglas G. Baird, *Bankruptcy's Quiet Revolution*, 91 AM. BANKR. L.J. 593 (2017); Edward J. Janger & Adam J. Levitin, *Badges of Opportunism: Principles for Policing Restructuring Support Agreements*, 13 BROOK. J. CORP. FIN. & COM. L. 169, 169 (2018).

²⁶ These are often implemented by newly appointed directors who specialize in executing these types of transactions. See Jared A. Ellias, Ehud Kamar & Kobi Kastiel, *The Rise of Bankruptcy Directors*, 95 S. CAL. L. REV. 1083 (2022).

²⁷ See generally David Skeel, *Pandemic Hope for Chapter 11 Financing*, 131 YALE L.J. F. 315 (2021).

²⁸ See Ayotte & Ellias, *supra* note 15.

²⁹ For example, TPG Group fell into financial distress in the late 2010s and its majority first lien lenders designed a series of transactions that allowed them to earn a 48% return in a relatively short period of time. They first re-financed the company to try to help it avoid bankruptcy; they then provided a debtor-in-possession loan; and finally they provided exit financing to allow the company to leave bankruptcy. The transactions were designed to allow the majority first lien lenders to capture most of the profits from the re-financing transactions without having to equally share those profits with the minority first lien lenders. As a result, 67% of the lenders under the same contract earned large profits, which would have been diluted had the other 33% participated on equal terms. See generally Jared A. Ellias & Elisabeth de Fontenay, *Law and Courts in an Age of Debt*, 172 U. PA. L. REV. (forthcoming 2023), Section III.

³⁰ *Id.*

apply to any new funding they provide. A majority group might receive an exclusive new financing opportunity during the case in exchange for a promise to vote for the plan. Is the new financing a form of vote buying? Or should the new financing be analyzed separately?

This chapter will proceed as follows. In the next section, we describe the three major eras of Chapter 11 and the capital structures of filing firms. In section III, we analyze the costs and benefits of teams as an investor protection strategy in bankruptcy law. In section IV, we highlight examples of private equity strategies to break up teams inside and outside of bankruptcy. Section V concludes with some tentative policy implications.

II. Bankruptcy's Three Eras.

Modern U.S. corporate reorganization practice can be divided roughly into three major eras where different agency problems captured the attention of practitioners and scholars.³¹ The first was the era of “debtor” or “manager” control, from the Code’s passage until the early 2000s. During this time, the dominant problem was excessive delay and excessive reorganizations of non-viable firms. The Eastern Airlines case epitomizes this era. The unprofitable airline was allowed to operate under Chapter 11 protection for two years, burning through half the company’s value in operating losses before finally liquidating.³² In response to these issues, commentators called for allowing private parties to contract around bankruptcy,³³ and replacing bankruptcy with auctions, partially out of fear that the governance problems in Chapter 11 could not be fixed.³⁴

The second era was the era of secured creditor control, from the early 2000s until the onset of the financial crisis of 2008.³⁵ In the secured creditor era, secured lenders “took control” of bankruptcy proceedings by adding restrictive terms and conditions to debtor-in-possession lending agreements, which were fairly loose documents through the 1990s.³⁶ In this period, the agency cost that attracted the most attention was the fear that secured creditors would use their newfound dominance to force companies into fire sale transactions. The Polaroid bankruptcy epitomized this era—the debtor sold the company through Section 363 to One Equity Partners at a fraction of its value, providing a lucrative retention package to its former management as part of the deal.³⁷

More recently, a third era has emerged, where the bankruptcy process itself has become less relevant to the outcome of the bankruptcy. Debtors now arrive in bankruptcy court with a series of contracts in hand with some, but not all creditors, agreeing to use the powers of a

³¹ Mark Roe offers a different taxonomy, which goes back to the bankruptcy law-making of the New Deal era. See Mark J. Roe, *Three Ages of Bankruptcy*, 7 HARV. BUS. L. REV. 187, 188 (2017).

³² Lawrence A. Weiss & Karen H. Wruck, *Information Problems, Conflicts of Interest, and Asset Stripping: Chapter 11's Failure in the Case of Eastern Airlines*, 48 J. FIN. ECON. 55.

³³ Barry E. Adler, *Financial and Political Theories of American Corporate Bankruptcy*, 45 STAN. L. REV. 311 (1993).

³⁴ See, e.g., https://www.nber.org/system/files/working_papers/w6278/w6278.pdf (proposing a new bankruptcy system that would be auction-focused, to avoid the inefficiencies of Chapter 11-like systems).

³⁵ See *supra* footnote 16 and accompanying text.

³⁶ See Ayotte & Elias, *supra* note 15, at 14.

³⁷ Lynn M. LoPucki & Joseph W. Doherty, *Bankruptcy Fire Sales*, 106 MICH. L. REV. 1 (2007).

Chapter 11 debtor to implement a pre-identified transaction.³⁸ We have described it elsewhere as the era of “process sales”: management sells control of the Chapter 11 process to a secured creditor coalition at the outset of the case in exchange for compensation.³⁹ The fear is that the restructuring transaction may be suboptimal from the perspective of the firm’s overall stakeholders, but optimal from the perspective of managers and secured creditors.⁴⁰ While this may be a fire sale, it may also be a reorganization plan that provides secured creditors with their preferred recovery without also providing other stakeholders with their best possible outcome.⁴¹

Vincent Buccola has pointed out that this new period combines elements of both the first and second eras, as some shareholders -- private equity sponsors -- now play an important role as a bargaining party, where they often reach deals with secured lenders that may not be the preferred deal of the firm’s junior creditors.⁴² The private equity sponsor is often bargaining to reduce its liability associated with pre-bankruptcy dividends or the leveraged buyout itself, creating a situation where the sponsor can achieve a significant windfall by settling claims with the secured creditors who would not benefit from the prosecution of those claims.⁴³ The newfound bargaining power of private equity sponsors leads to a second agency problem, which is the ability of shareholders to get value beyond their entitlements by extracting it from the debtor – typically as a dividend – prior to bankruptcy and then settling the fraudulent transfer claim for a fraction of the value transferred.⁴⁴ Debtor’s attorneys have developed new strategies to implement these deals, such as by deploying “independent” directors who can then purport to bargain on behalf of the debtor to reach these deals.⁴⁵

Importantly, some of the most prominent bankruptcy strategies are now what we term “team breakup strategies”, where an important agency problem exists between members of the same creditor class.⁴⁶ Under the Bankruptcy Code, creditors with similar claims must receive similar treatment – for example, unsecured creditors should be treated similarly regardless of whether their claim arises from an unpaid bill or a multibillion dollar bond contract.⁴⁷ This forces all creditors in the class to work as a team, since their fates are linked.⁴⁸ One of the most

³⁸ Buccola, Vincent S.J., *Sponsor Control: A New Paradigm for Corporate Reorganization* (July 15, 2022). 90 University of Chicago Law Review 1 (2023), Available at SSRN: <https://ssrn.com/abstract=4170249> or <http://dx.doi.org/10.2139/ssrn.4170249>.

³⁹ See generally Kenneth Ayotte & Jared A. Ellias, *Bankruptcy Process for Sale*, 39 YALE J. REG. 1 (2022).

⁴⁰ *Id.*

⁴¹ *Id.*

⁴² See *supra* footnote 37.

⁴³ For examples of these transactions, see, e.g., Kenneth Ayotte & Christina Scully, *J. Crew, Nine West and the Complexities of Financial Distress*, 131 YALE L.J. F. 363 (November 10, 2021); Mitchell Mengden, *The Development of Collateral Stripping by Distressed Borrowers*, 16 CAP. MAR. L. J. 56 (2021).

⁴⁴ For a deeper description of a version of this strategy, see Jared A. Ellias, Ehud Kamar & Kobi Kastiel, *The Rise of Bankruptcy Directors*, 95 S. CAL. L. REV. 1083 (2022).

⁴⁵ See Jared A. Ellias, Ehud Kamar & Kobi Kastiel, *The Rise of Bankruptcy Directors*, 95 S. CAL. L. REV. 1083 (2022).

⁴⁶ Diane Lourdes Dick, *Hostile Restructurings*, 96 WASH. L. REV. 1333 (2021).

⁴⁷ See 11 U.S.C. §1129(b).

⁴⁸ In this way, bankruptcy law relies on expert insider creditors to protect outsider creditors holding similar claims. This parallels the structure of public securities markets, as described in Holger Spamann, *Indirect Investor Protection: The Investment Ecosystem and its Legal Underpinnings*, 14 J. LEGAL ANALYSIS 17 (2022).

important strategies that debtors use to get around this rule is to offer financing opportunities to a subset of the class.⁴⁹

Peabody Energy and Serta Simmons provide two representative cases in this modern era involving team breakups inside and outside of bankruptcy, respectively. In the Peabody case, a favored subset of creditors within a class received the exclusive right to purchase preferred stock in the reorganized company at a 35% discount to plan value. The discount, they successfully argued, was compensation for supporting the plan by backstopping a rights offering.

Outside of bankruptcy, Serta Simmons is one of many “uptiering” transactions⁵⁰ that epitomize a team breakup strategy. In an uptiering, the debtor offers a higher priority position in a refinancing to a majority of holders of a class of claims who have the power to consent to an amendment of the loan documents. Uptierings often involve aggressively reading terms in the document that are intended to protect minority investors against these transactions to find loopholes and workarounds.

The key conflicts in these three eras were shaped by the capital structures of the firms that use the bankruptcy system. Chapter 11 has seen the fulcrum security—the residual claimant on the firm—steadily move up the capital structure to more senior levels. In the debtor/management control era, the dominant investor conflict was between equity and unsecured debt, and recoveries to equity were common.⁵¹ Secured creditors, usually banks, sought to be refinanced at par, and rarely played an active role in the case. In the secured creditor control era, secured debt grew to occupy a larger share of the capital structure of Chapter 11 firms.⁵² Hedge funds and other distressed investors became active players from the secured debt position.⁵³ As a result, secured versus unsecured debt was the dominant conflict. Since secured creditors benefit from extinguishing the option value of junior claims, secured creditor-driven fire sales became an important theme.⁵⁴

In the new era, intra-class warfare has taken center stage, which allows investors with certain properties large, agile capital providers -- to take advantage of smaller investors or

⁴⁹ For a fuller description of activist investing strategies in Chapter 11, see Jared A. Elias, *The Law and Economics of Investing in Bankruptcy in the United States*, in NVRII REPORTS 2019, DISTRESSED DEBT TRADING: BRAVE NEW EU LEGAL RULES IN RELATION TO BOLD NEW STRATEGIES 47 (Eleven Int’l. Publ’g, 2020).

⁵⁰ See Vincent Buccola and Greg Nini, *The Loan Market Response to Dropdown and Uptier Transactions*, working paper available https://papers.ssrn.com/sol3/papers.cfm?abstract_id=4143928 (2022)

⁵¹ See Allan C. Eberhart, William T. Moore and Rodney L. Roenfeldt, *Security Pricing and Deviations from the Absolute Priority Rule in Bankruptcy Proceedings*, 45 THE JOURNAL OF FINANCE 1457, 1457-1469 (1990) (discussing the substantial un-deserved recoveries of shareholders in the early years of the new bankruptcy code).

⁵² See Barry E. Adler, Vedran Capkun, and Lawrence A. Weiss, *Value Destruction in the New Era of Chapter 11*, 29(2) J. L., Econ., & Org. 461 (2013); Douglas G. Baird and Robert K. Rasmussen, *The End of Bankruptcy*, 55 Stan. L. Rev. 751, 784 (2002); David A. Skeel Jr., *Creditors’ Ball: The “New” New Corporate Governance in Chapter 11*, 152 U. Pa. L. Rev. 917, 919 (2003); Elizabeth Warren and Jay L. Westbrook, *Secured Party in Possession*, 22 Am. Bankr. Inst. J. 12, 12 (2003). Kenneth M. Ayotte and Edward R. Morrison, *Creditor Control and Conflict in Chapter 11*, 1 J. Legal Analysis 511, 514 (2009)

⁵³ Wei Jiang, Kai Li & Wei Wang, *Hedge Funds and Chapter 11*, 67 J. FIN. 513, 556 (2012).

⁵⁴ See, e.g., Kenneth M. Ayotte & Edward R. Morrison, *Creditor Control and Conflict in Chapter 11*, 1 J. LEGAL ANALYSIS 511 (2009).

investors with contractual structures that restrict their agility.⁵⁵ Institutional term loans have grown in importance, and a large portion of these loans are held by securitization vehicles known as collateralized loan obligations, or CLOs. CLOs are set up to provide diversified exposure to the secured loan market for their investors, who are often banks and insurance companies. As such, CLO structures are not set up to be active players in distressed situations. They may lack the ability to contribute new money, and their diversification means reduced incentive to negotiate for protective terms ex-ante and to defend their interests ex-post. As such, CLOs often become distressed sellers to more active investors as bankruptcy approaches. Those funds who hang on can be easily diluted by restructurings that provide windfalls to the investors who can provide new money.⁵⁶

III. The Economics of Creditor Teams

Team strategies are design features that channel creditors into a common objective and encourage them to act as a unit. Both the Bankruptcy Code and debt contracts contain structures that serve these aims. Team strategies involve payoff and cost sharing, and the collectivization of governance in their dealings with the debtor. These features work in conjunction to protect creditors while enabling efficient debt restructurings to occur. Payoff sharing prevents the debtor from favoring an inside group over an outside group; cost sharing prevents free riding; and the collectivization of governance limits anticommons problems that would stall restructurings if individual consent were required for restructuring.

These team features are evident in private contracts involving groups of creditors. A syndicated term loan agreement, for example, will have terms that require pro rata treatment of all participants to enforce benefit sharing.⁵⁷ These terms make it difficult for the debtor to pay some creditors in the facility more than others. On the cost sharing side, the agreements will appoint agents to collect and disburse payments and deal with the debtor; these costs are shared pro rata by the lenders. Cost reimbursement usually includes attorneys and other professionals whose services are needed if the borrower falls into distress. On collectivization of governance, most loan agreements permit important modifications to occur with a majority or supermajority vote. This benefits the debtor and creditors by avoiding a cumbersome unanimous consent requirement. These rules work effectively only if a majority's ability to bind the minority is coupled with benefit sharing; otherwise, the debtor could simply pay a majority for consent and leave the minority with nothing.

The bankruptcy code expands upon contractual protections like these, placing creditors into teams that the debtor and creditors did not pre-arrange by contract. To the extent that there

⁵⁵ For example, a particular agile capital provider are private credit lenders. See Jared A. Elias and Elisabeth de Fontenay, *The Credit Markets Go Dark* (2024), 134 Yale L. J. 696 (2025).

⁵⁶ See Lisa Lee & Sally Blakewell, *Hedge Funds Exploit CLO Weakness Laid Bare by Corporate Distress*, BLOOMBERG (June 22, 2028), <https://www.bloomberg.com/news/articles/2020-06-22/hedge-funds-exploit-clo-weakness-laid-bare-by-corporate-distress>.

⁵⁷ See Berlin, Mitchell, Greg Nini & Edison G. Yu, *Concentration of control rights in leveraged loan syndicates*, 137 JOURNAL OF FINANCIAL ECONOMICS 249 (Mar. 2018).

are imperfections in the ability of creditors to contract with each other, bankruptcy's team rules attempt to mimic a hypothetical bargain the creditors might strike with each other.

Though these rules can bring the benefits noted above, they also create costs. Team formation can result in modification of non-bankruptcy priorities as the bankruptcy system ignores some creditor characteristics. For example, as Robert Rasmussen has noted, early maturity is a form of temporal priority that can benefit early-maturing claims over later ones outside of bankruptcy; the Code ignores these differences in forming unsecured creditor teams.⁵⁸ Mandatory team formation can also reduce the flexibility to tailor cost-sharing and payouts across creditors that may be ex-post efficient.⁵⁹ Some creditors may be willing to accept less than others for efficiency reasons; a trade creditor, for example, might benefit from the debtor's mere continuation because of the ability to earn profits on future sales. But if classified together with bondholders, they must receive the same higher payout; this may make plan confirmation harder for a debtor to achieve.

As we discuss below, team formation rules in bankruptcy—rules that strengthen the creditors' relationships *to each other*--operate with much more force on unsecured creditors than on secured creditors. For the most part, the Code leaves team strategies for secured creditors to their contracts. At the same time, the rights of unsecured creditors collectively *against the debtor* are significantly weaker than the rights of secured creditors. As secured credit has come to dominate the capital structures of bankrupt firms, this change has meaningfully altered the dynamics of Chapter 11 reorganizations. We explain the differences between secured and unsecured credit and a hypothesis for these mechanisms below.

A. Bankruptcy Team Rules: Unsecured Credit

Like the pro-rata rule in syndicated loans, bankruptcy's class formation and priority rules mandate comparable treatment among unsecured creditors in a team. The most notable of these is the treatment of classes in the reorganization plan. Case law requires a plan proponent to place similar claims into a single class.⁶⁰ A plan proponent cannot gerrymander a reorganization plan by classifying similar claims separately.⁶¹ Courts apply these rules to require, for example, that secured creditor deficiency claims be classified together with general unsecured creditors.⁶² Once in a class, the plan must provide equal treatment for all members. When separate classification is permitted for claims of the same priority, the plan must not discriminate unfairly across classes.⁶³ The unfair discrimination test requires comparable recoveries to unsecured creditor classes of the same priority.

⁵⁸ Robert K. Rasmussen, *Temporal Priority*, 20 BERKLEY BUS. L. J. 53 (2023).

⁵⁹ For an argument that the mandatory rules of bankruptcy should give way to ex ante contracting, see Alan Schwartz, *A Contract Theory Approach to Business Bankruptcy*, 107 YALE L.J. 1807 (1998).

⁶⁰ See 11 U.S.C. §1122.

⁶¹ See *In re Machne Menachem, Inc.*, 233 Fed. Appx. 119 (3d Cir. 2007).

⁶² See e.g. *In re 18 RVC, LLC*, 485 B.R. 492 (Bankr. E.D.N.Y. 2012) (requiring a lenders' unsecured deficiency claim to be classified with the secured claim).

⁶³ See e.g. Bruce A. Markell, *A New Perspective on Unfair Discrimination in Chapter 11*, 72 AM. BANKR. L.J. 227, 227–28 (1998).

In addition to benefit-sharing rules, other rules require creditors to share costs collectively. Sharing costs overcomes free rider problems: the class has incentive to provide for actions that benefit the unsecured creditors as a group that an individual creditor might not find cost-justified. The Code mandates an official committee of unsecured creditors. The committee is charged with monitoring the debtor's activity and collaborating on a plan of reorganization. Members of the committee have a fiduciary duty to the unsecured creditors (a benefit sharing provision), and costs are borne by the estate as an administrative expense. Since administrative expenses have priority over all unsecured creditors, unsecured creditors bear these expenses in proportion to their claims whenever they are the residual claimant.

In financial distress, new financing has similar properties as the administrative costs discussed above. New financing can increase the value of existing unsecured claims, but no creditor would individually bear the cost of providing it on an unsecured basis to an insolvent firm. If they did, they would be making a loss on the new money and subsidizing the other creditors—this is the well-known debt overhang problem.⁶⁴ To overcome this problem, DIP financing under Section 364 has priority over the general unsecured creditors. This forces all unsecured creditors to share the cost of the new financing, irrespective of who provides it.

At the same time, the collective governance of teams can overcome the anticommons problem that would result from a requirement of creditor unanimity.⁶⁵ The Code requires only a 2/3 supermajority and a majority in number of claims within a class for the class to consent.⁶⁶ Plans can also be “crammed down” over dissenting classes who receive fair and equitable treatment of their claims.⁶⁷

B. Bankruptcy Teams: Secured Creditors

When we compare the bankruptcy code's treatment of secured creditors to the previous discussion of unsecured debt, we see much less in the way of mandatory team formation. Within a class of secured claims, the same equal treatment rules apply. In terms of governance, voting rules within a class are governed by the same thresholds that apply in unsecured classes. But there is little in the way of team formation across secured credit facilities. Creditors secured by different collateral must be placed into separate classes. The Code does not tie payoffs across secured creditor classes to each other as the unfair discrimination test does for unsecured creditor classes. Given that secured creditor groups are entitled to separate benefits, it is not surprising that there is no collective governance or cost sharing across secured creditor classes either. The

⁶⁴ This is known as the debt overhang problem (Myers 1977). In bankruptcy and financial distress, see Ken Ayotte & David Skeel, *Bankruptcy Law as Liquidity Provider*, 80 U. CHI. L. REV. 1557 (2013); George G. Triantis, *A Theory of the Regulation of Debtor-in-Possession Financing*, 46 VAND. L. REV. 901 (1993).

⁶⁵ 11 U.S.C. § 1122 (2018). See also David A. Skeel Jr., *Distorted Choice in Corporate Bankruptcy*, 130 YALE L.J. 366, fn. 2 (2020).

⁶⁶ 11 U.S.C. § 1126(c) (2018). See also David A. Skeel Jr., *Distorted Choice in Corporate Bankruptcy*, 130 YALE L.J. 366, 369 fn. 3 (2020).

⁶⁷ 11 U.S.C. § 1129(b) (2018). See also David A. Skeel Jr., *Distorted Choice in Corporate Bankruptcy*, 130 YALE L.J. 366, 369 fn. 4 (2020).

Code does not mandate a common representative to represent secured creditors, and there is no provision for secured creditor groups to share expenses.

Collective governance mechanisms are largely provided by contract. The bankruptcy code largely expects secured creditors to be able to fend for themselves and provides little in the way of statutory support in organizing and participating in the case, in contrast to the “official committee” structure for unsecured creditors, which is an automatic feature of large bankruptcy cases.⁶⁸ In many cases, loan contracts provide for cost sharing for class attorneys and other necessary advisors. In addition to the terms found within a loan facility, intercreditor agreements act as collective governance mechanisms across different secured credit facilities.⁶⁹ These agreements define priority rights and control rights between secured creditor groups. They typically allow the senior classes to “steer” and for the lower priority class to remain silent until the senior class is paid in full.

Although team formation rules for secured creditors in the Bankruptcy Code are weak, secured creditor rights against the debtor are significantly stronger. Most importantly for our purposes, secured creditors have much stronger rights to block pre-plan transactions that affect their interests. We highlight DIP financing and asset sales, the most important of these pre-plan transactions.

i. DIP financing

As noted above, DIP financing is senior to unsecured debt, through its status as an administrative expense claim, or as a secured claim, or both. Unsecured creditors have the right to notice and a hearing, and unsecured creditors committees frequently object to DIP loan terms, but they have no individual or collective right to veto DIP financing.⁷⁰ This brings about the risk that the debtor and/or management extract value from the creditors by borrowing from a DIP lender on overly generous terms. The important job of policing DIP loan terms is left to the bankruptcy judge. Judges will look for assurance that the loan has been “market tested”—i.e. that the debtor has shopped around for the best terms and that the given loan’s terms are comparable to loans that were approved in recent cases.⁷¹

Secured creditors, by contrast, have a de-facto right to veto any financing that is *pari passu* or senior to them. The Code does allow nonconsensual priming liens⁷², but as a practical

⁶⁸ See 11 U.S.C. § 1102(a)(1) (as “soon as practicable [the United States Trustee] shall appoint a committee of creditors holding unsecured claims).

⁶⁹ See generally Kenneth Ayotte, Anthony J. Casey & David A. Skeel, Jr., *Bankruptcy on the Side*, 112 NW. U. L. REV. 255 (2017); Edward R. Morrison, *Rules of Thumb for Intercreditor Agreements*, 2015 U. ILL. L. REV. 721.

⁷⁰ Cite to Aurelio Gurrea Martinez, who makes this normative recommendation.

⁷¹ B.Espen Eckbo, Kai Li, & Wei Wang, *Loans to Chapter 11 firms: contract design and pricing*, (Eur. Corp. Gov. Insti., Working Paper No. 794, 2021).

⁷² 11 U.S.C. 364(d).

matter, courts rarely grant them. This leaves the provision of senior financing to specific permissions in the credit agreement or to ex-post negotiations among the creditors.⁷³

ii. Use and Sale of Assets

Secured creditor rights are also significantly stronger regarding use and sale of assets during the case. In terms of use protections, secured creditors are entitled to adequate protection of their security interest: this protects the secured creditor against declines in their collateral value during the case due to use. If a secured creditor can demonstrate a lack of adequate protection, the judge must lift the stay and allow for repossession of the collateral.⁷⁴ Unsecured creditors, by contrast, do not have any explicit protection against declines in the value of their unsecured claims during the case.

Regarding asset sales, secured creditors also have explicit valuation protections that unsecured creditors do not. An unsecured creditor can challenge a sale at a hearing, but cannot veto it on valuation grounds. The leading case on the subject requires only that the debtor state a “good business reason” for the sale.⁷⁵ The valuation of the property relative to its appraised value is only one of many factors courts may consider in approving the sale. As with DIP financing above, the unsecured creditor’s major protection against a too-low “fire sale” price is a sale process that generates competition from outside buyers. It is common for debtors and creditors to dispute the sale process itself, with unsecured creditors typically arguing for a slower and more thorough process and the debtor arguing for the need for speed.

A secured creditor, by contrast, has explicit valuation protection in sales. Buyers will rarely buy assets unless they can buy free and clear of liens. To sell free and clear of the secured creditor’s lien without their consent, the court must verify that the sale price exceeds the value of the lien.⁷⁶

C. Changing Capital Structures Lead to Changing Strategy

To summarize, we hypothesize that management’s incentives in reorganization are to find a favored party and engineer a transaction to that party at a below-market price, sharing the proceeds of the value diversion in the process. We suggest that this strategy endures, but its form has changed importantly due to changes in capital structure over time. As fulcrum securities have gravitated toward secured classes rather than unsecured, management’s strategy has shifted away from fire sales to third parties and toward breaking up secured creditor teams.

For unsecured creditors, the Bankruptcy Code provides relatively strong team formation rules, but relatively weak valuation protection against value-diverting transactions by the debtor.

⁷³ Among secured creditors with different levels of priority, intercreditor agreements often require junior secured lenders to support a financing supported by the seniors. *See generally* Kenneth Ayotte, Anthony J. Casey & David A. Skeel, Jr., *Bankruptcy on the Side*, 112 NW. U. L. REV. 255 (2017). Credit agreements have historically, on average, been silent in requiring pro rata DIP loans or other provisions forcing the majority to provide the minority with the chance to participate in bankruptcy financings.

⁷⁴ *See* 11 U.S.C. 362(d).

⁷⁵ *In re Lionel Corp.*, 722 F.2d 1063, 1071 (2d Cir. 1983).

⁷⁶ 11 U.S.C. 363(f)(3).

The most viable form of valuation protection for unsecureds against value diversion is a market test of the terms, relying on outside competition to generate fair prices. When unsecured creditors are the fulcrum security, management's value diversion strategy is not to divide and conquer the unsecured creditor team. Instead, it is to weaken market testing.

For secured creditors, the situation is reversed. Team protection rules are relatively weak in the Code, and those that exist pertain exclusively to plans of reorganization. But secured creditors have stronger rights to block transactions between the debtor and third parties. This protects secured creditors against diversion. As a result, debtor strategies have shifted toward dividing and conquering secured creditor teams using pre-plan transactions and pre-bankruptcy value redistribution.⁷⁷ These strategies frequently rely on strategic readings of debt contracts that define lenders' rights against each other. Because secured creditors have blocking rights against third parties, market tests using outside financiers will be less effective for protecting minorities against transactions with majorities. Hence, left-out minorities can only challenge the interpretation of the contract terms, or try to provide a competing transaction themselves.

IV. Examples of Team Breakups and Value Diversion

In this section, we identify some of the common team breakup strategies in the modern Chapter 11. The common thread in these transactions is a "divide and conquer" strategy, whereby a majority group in a class of creditors receives valuable rights that a minority does not receive. Debtors and their managers benefit in a variety of ways, from indirect payoffs, like greater option value, to direct payoffs like managerial compensation.

1. Exclusive Exit Financing Opportunities: Peabody Energy

As noted above, the Peabody Energy case was the first of many to offer exclusive opportunities to a majority group via a lucrative exit financing package. A group of "Noteholder Co-Proponents" holding secured debt and senior unsecured debt received an exclusive opportunity to buy an initial phase of a private placement of preferred stock at a 35% discount to plan value. They also received a "backstop premium" of 8% of the money raised to backstop subsequent phases of the financing. (The backstop premium is a payment for committing to provide the new financing should no other party agree.)

An Ad Hoc Committee of non-consenting creditors objected to the exclusive terms. They presented alternative financing proposals, but the debtor rejected them, in part because of the added delay and expense that these proposals would cause due to the lack of plan support. The Ad Hoc Committee objected to the Debtor's motions to approve the Noteholder's proposals. They argued, *inter alia*, that the exclusive financing opportunities violated 1123(a)(4), which mandates equal treatment of parties in a class of claims. The appeal reached the Eighth Circuit,

⁷⁷ For an example of how pre-bankruptcy value redistribution can dramatically swing Chapter 11 outcomes, see Jared A. Elias & Elisabeth de Fontenay, *Law and Courts in an Age of Debt*, 171 U. PA. L. REV 2025, 2036-46 (2022).

who faced the following difficult question: when is an exclusive outside opportunity effectively payment on a prepetition claim, and when is it a separate bargain?

The Eighth Circuit ruled against the minority creditors. The main challenge for the court lay in distinguishing this case from the *LaSalle* case. In that case, the Supreme Court disallowed an exclusive equity purchase option for shareholders and required that similar options be market-tested. The Eighth Circuit distinguished Peabody by arguing that the debtor had considered the Ad Hoc Committee's proposal along with the Co-Proponents proposal and rejected its terms as inferior. But part of the reason for the debtor's rejection stemmed from the majority group's willingness and ability to guarantee plan confirmation through their majority status.

One can see how cases like Peabody all but eviscerate market testing. The exit financing plan arose from a complex mediation process over a dispute regarding the validity of security interests. It seems unlikely that any third party could have entered the mediation process to compete for the exit financing opportunity. The only effective check on the terms, then, could come from the Ad Hoc group. But the Eighth Circuit undercut their ability to compete by allowing the debtor to choose offers on the basis of convenience, cost and speed in addition to the financing terms. The cost and speed of any deal that already involves a majority is always faster and administratively cheaper than one that does not; this effectively insulates a majority group from any real market test.

2. "Uptiering" Outside and Inside Bankruptcy: Serta and JC Penney

In an "uptiering" transaction, a majority of creditors in a class are elevated in priority above a minority. The debtor typically receives new financing in the process from the majority lender group. This additional financing benefits the shareholders of the company by extending its "runway"; i.e. postponing a potential bankruptcy filing.

a. Serta

Outside of bankruptcy, the most well-known uptiering transaction is the Serta case. In 2020, the company executed an exchange with a group of first and second lien creditors. The exchange involved elevating the priorities of \$875 million of first and second lien debt as against excluded minority first and second lien lenders. The company received \$200 million in new financing from the majority group.

The controversy surrounding the exchange concerned the interpretation of an "open market purchase" provision in the loan documents. This provision is an exception to the pro-rata sharing terms in the document that require ratable payments to all lenders in the facility. The open market purchase provisions, by contrast, are intended to allow the company to "capture discount" by buying back a portion of its own loans below par.

The minority lenders sued in state and federal court, arguing that the exchange violated the explicit terms of the contract and that Serta violated an implied duty of good faith. Though these claims survived a motion to dismiss in the Southern District of New York, the company filed for bankruptcy in the Southern District of Texas in 2023. There, the court granted summary judgment to Serta on the open market purchases question. In 2024, however, the Fifth Circuit

reversed the bankruptcy court's decision, finding that the non-pro-rata exchange did not constitute an open market purchase. This important decision will add an extra degree of difficulty to future team breakup strategies via uptiering.

b. J.C. Penney

The J.C. Penney case is an example of an uptiering that occurred in bankruptcy through a DIP loan.⁷⁸ When the company filed, the first lien debt was the fulcrum security. The debtor partnered with a majority in the class and gave them the exclusive opportunity to provide a “priming” DIP loan, i.e. a loan that would rank senior to the existing first lien debt. Such loans are rarely granted without the consent of the primed creditors. The majority group claimed their majority status gave them the power to consent.

The DIP loan contained extraordinarily generous terms that diluted the nonparticipating minority. The loan included five separate classes of fees, including an up-front fee of 10% of the loan amount. It provided for a “roll up” of the majority group’s undersecured first lien debt into the super-senior DIP tranche.⁷⁹ The loan also gave the majority group unfettered control over the case because the loan was tied to a restructuring support agreement. This gave the majority group an effective veto over the timing and terms of the company’s exit from bankruptcy. The majority used this control to engineer a credit bid that gave them a greater than 100% return on the super-senior DIP tranche. Ayotte and Huang (2023) estimate that the combination of terms and case controls gave the majority group an effective interest rate above 500% on their DIP loan.

3. Dividing and Conquering Creditors’ Committees: Nine West

Although our hypothesis and examples focus on breakup of secured creditor teams, private equity-backed debtors have used divide-and-conquer strategies against unsecured creditor teams too. As noted above, the official committee of unsecured creditors (the “UCC”) represents the interests of the unsecured creditor body in negotiations with the debtor. The UCC’s role has become more prominent in the bankruptcies of private equity-sponsored LBO debtors. The estate often has valuable causes of action against LBO lenders and sponsors. They typically argue that the prepetition LBO was a fraudulent transfer and that management breached their fiduciary duties to investors in approving the deal. The UCC plays a crucial role in settlement negotiations; they sometimes seek derivative standing to bring these actions when the debtor will not, and their objections to a settlement proposed by the debtor will carry substantial weight with the bankruptcy judge.

These general themes played an important role in the contentious Nine West bankruptcy.⁸⁰ The main disputes in the case revolved around a 2014 LBO led by Sycamore

⁷⁸ See Kenneth Ayotte & Alex Zhicheng Huang, *Standardizing and Unbundling the Sub Rosa DIP Loan*, 39 EMORY BANKR. DEV. J. 523 (2023).

⁷⁹ Although there are no appeals court opinions on rollups, one circuit held that the similar practice of cross-collateralization is per se impermissible. *Matter of Saybrook Mfg. Co., Inc.*, 963 F.2d 1490 (11th Cir. 1992).

⁸⁰ For discussions of the Nine West Bankruptcy, See Jared A. Elias, Ehud Kamar & Kobi Kastiel, *The Rise of Bankruptcy Directors*, 95 S. CAL. L. REV. 1083, 1085-6 (2022); Kenneth Ayotte & Christina Scully, *J. Crew, Nine West and the Complexities of Financial Distress*, 131 YALE L.J. F. 363, 373-364 (November 10, 2021)

Capital Partners. Sycamore acquired Nine West and, within the following year, sold several of its valuable brands to entities it controlled. It later flipped these same properties for a \$400 million profit. The sales had the effect of diluting a class of legacy unsecured bondholders who lacked contractual protections against the LBO. The recovery for the diluted bondholders depended importantly on the estate's settlement with Sycamore for fraudulent transfer and fiduciary duty claims.

An initial reorganization plan targeted a settlement that the UCC argued was wholly inadequate. But soon after, three of the seven members of the UCC changed their position, directing their counsel to support the settlement. The three parties were trade creditors who, according to the diluted bondholders, received a "bribe" in the form of an enhanced cash payout option available only to them.⁸¹ Flipping the committee paved the way for a settlement with Sycamore for \$120 million in exchange for a release of their liability.

V. Concluding Thoughts

One of the primary functions of Chapter 11 is to limit the agency costs of debt by managers and other controllers. These agency costs frequently take the form of collusion between the agents and a favored creditor group to divert value from a disfavored creditor group. This theme is as old as corporate reorganization itself. But within this overarching problem, the PE-backed leveraged buyout has unique features that change the nature of the game in ways that bankruptcy law struggles to address.

In these cases, the fulcrum security consists of dispersed secured creditors, and the controlling sponsors' primary motive is to dilute litigation against them connected to the pre-bankruptcy LBO. As compared to unsecured creditors, bankruptcy gives secured creditors stronger powers to block value diversion from their collective but contains weaker "team formation" rules that force secured creditors to work together. As a result, a common strategy in these cases is for the sponsor to break up a team. By colluding with a majority of a class against a minority, sponsors can engineer a transaction to their mutual benefit. The PE playbook involves creative interpretations of contractual provisions intended to preserve teams, and channeling reorganization terms into pre-plan transactions to avoid the Code's team preserving rules, such as equal treatment.

What should be done about these transactions? We think that limiting agency costs is one of the keystone goals of Chapter 11 for good reason. When more firm value can be diverted from creditors to agents through collusion, costs of credit will rise and access to finance for healthy firms will be reduced. Not all coalition formation is harmful, of course: proponents frequently argue that greater consensus is impractical due to the cost of satisfying holdouts and the need for speed to preserve the company's value. We believe, however, that there is a trade-off between the efficiency gains from speed and the cost of value-diverting quick transactions. Ensuring that priorities are respected may require risking costly delay to vindicate them through market testing or judicial valuation.

⁸¹ As we described above, courts are reluctant to permit separate classification for "gerrymandering" purposes.

Bankruptcy courts are the most well-placed parties to address these problems. Experienced judges have the flexibility and capacity to understand the intent behind team breakup strategies, and the capacity to make difficult distinctions between more value-diverting versus more efficiency-driven strategies. But to date, they have provided too little resistance. Forum shopping may be one reason. Both the J.C. Penney and Serta cases were heard by a judge, David Jones, who actively sought to attract large Chapter 11 cases to the Houston bankruptcy court. Jones was later forced to resign due to allegations of corruption. The recent Fifth Circuit decision in Serta shows that higher courts are willing to push back on agent-friendly bankruptcy courts. Forum shopping reform might also help restore some needed agency cost controls.